GMS WEEKLY

Your Source for Recycling News

July 1st, 2022
Volume 240, Issue 1038
Week 26

Highlights:

- **No stability.**
- **Heady highs.**
- **Freight firm.**
- **Steel recovery.**
- **Reinvigorate.**
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QUOTE of the WEEK

"You've got to get up every morning with determination if you're going to go to bed with satisfaction."

– George Lorimer

MARKET COMMENTARY

PAINFUL MONTHS!

The degraded performance across the ship recycling sector over the last few (and painful) months shows few signs of abating just yet, as it has been a veritable tale of misery, even though prices remain at some of the firmest levels we have seen over the last decade. Down from the peaks of $700/Ton, levels nearly USD 100/LDT lower have left a bad taste in most mouths in the industry.

Certainly, the last time prices crashed from the psychological USD 700/LDT barrier was back in 2008, when even USD 800/LDT was briefly breached during the unprecedented boom years of the shipping industry, prior to the global financial collapse in September of that year.

However, not for a while have we seen freight rates at such optimistic numbers, as all sectors (Dry Bulk, Tankers and Containers) continue to fly, giving a healthy collection of these aging ladies, an extended chance at life in their respective global trading fleets.

As such, it remains a bit of a conundrum for the ship recycling sector, while candidates remain sparse and their incoming volume unlikely to pick up any time soon, even with prices having declined by over USD 100/LDT and having left sentiments on the ground in pieces, levels of over USD 600/Ton seems insufficient to tempt vessels towards the shores of recycling.

Steel prices have actually recovered a little in Pakistan, as they stabilize in India to an extent, ending the week at levels similar to those at the beginning of the week. However, it is the currency that continues to afflict Recyclers globally and this is leading to an overall lack of confidence in offering afresh on tonnage. Perhaps a period on the sidelines could reinvigorate sub-continent markets and bring demand back, of course, once steel prices and currencies settle at an acceptable level.

On the far end, Turkey manages to finally wrest the unending slide of nearly 6+ weeks that has seen levels plummet about USD 250/MT, as both import and local steel plate prices record improvements of their own.

For week 26 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Weak	600 / LDT	610 / LDT	620 / LDT
2	India	Weak	590 / LDT	600 / LDT	610 / LDT
3	Pakistan	Weak	570 / LDT	580 / LDT	590 / LDT
4	Turkey	Weak	270 / LDT	280 / LDT	290 / LDT

BANGLADESH

POISED FOR PICK UP?

VL sales.

News of several VLCC sales in the low USD 600s/LDT has been all the chatter over the last few weeks in Bangladesh. However, there is still some mystery over whether these deals will eventually go through and if their final resale prices will be those as rumoured to be fixed or will potential renegotiations take place at the waterfront.

Overall, the last 2 – 3 months have been a far quieter affair across Bangladesh, as prices cooled off and demand subsided after an extremely busy first quarter, when Local Buyers were busy acquiring a large chunk of the large LDT tonnage available in the market, and that too at the firmest prices in the sub-continent.

Seeking stability.

Even now, Chattogram Buyers have managed to retake pole position and general vessel enquiries seem to be making the rounds albeit the lack of market sales is painfully obvious.

Overall however, what the foreseeable future looks like depends on when and where the currency stabilises at, as we are already seeing steel prices stabilize in comparison, to bring some greater confidence back to a beleaguered sector.

NO MARKET SALES REPORTED

INDIA

DROPPING LIKE STONE!

Having been the top placed sub-continent market for several months early in the year, India has endured a turbulent few weeks, sending vessel prices plummeting back down again.

Turbulent weeks.

Ironically, the lowly place Pakistan market continues to prop the pricing table up, with India not far off, on the back of a worrying currency depreciation as the Rupee is now trading at Rs. 78.50 against the U.S. Dollar – seemingly on its way further down towards the increasingly dreaded Rs. 80 mark, a fearful psychological barrier.

Monsoon pause.

As such, we do not anticipate much activity from this market, not only given the traditionally quieter rainy monsoon / summer months and an apt time for yards to reduce activity since labourers return to their hometowns during the slower monsoon period anyways, but also due to miserable availability of tonnage.

NO MARKET SALES REPORTED

PAKISTAN

UNWORKABLE!

Losing most sales.

Having lost most of the recent sales (including the locally favoured larger LDT tonnage, including VLCCs) to the stronger and more resilient Bangladeshi and Indian markets, it seems set to be an extremely bleak summer ahead for Gadani recyclers.

Not only are they quoting completely unworkable and opportunistic levels in the mid USD 500s/LDT on any available unit, local Recyclers are also claiming that the State Bank of Pakistan is not approving any L/C above USD 100,000, such is the perilous state of financial affairs in the country at present, amidst a dire lack of foreign reserves / U.S. Dollars in the country.

Usual excuses.

However, this seems like the usual excuses and an overreaction from buyers unwilling and afraid of the market tumbling further and this is one location worthy of steering clear of for now – at least until an overall sense of stability creeps back into the market.

NO MARKET SALES REPORTED

TURKEY

NEW BOTTOM?!

After what seemed like an unending 'terminal velocity' plummet for nearly a month-and-a-half seems to have finally ceased this week, as a glimmer of stability surfaced this week via improving steel fundamentals, as local steel plate prices improved USD 10/Ton while import steel improved a healthier USD 30/Ton.

Steel Jumps.

This has arrested the declining vessel prices for now and, given the rapid rate of decline from this market over an extended duration, we do not anticipate further drops and the current levels should be the new 'new bottom' on vessel prices.

Notwithstanding, even with the ongoing shortage of tonnage, Turkey maintains a far greater avenue for tonnage coming in from EU waters, as Aliaga Recyclers are the only game in large LDT recycling in the EU.

Only game.

For now, however, like the rest of the ship recycling world, Turkey seems like to be traveling through a lull of their own and it may be some time before some market fixtures surface again.

NO MARKET SALES REPORTED

AMAZING FACTS

- *German chocolate cake was invented in Texas. The "German" part of German chocolate cake comes from an American man—not a European country. Specifically, it's named after Sam German, who in 1852 created the formula for a mild dark baking chocolate bar for Baker's Chocolate Company, which was subsequently named Baker's German's Sweet Chocolate. Fast-forward to June 13, 1957. The Dallas Morning Star published the recipe for the cake, invented and submitted by a reader identified as Mrs. George Clay, according to What's Cooking America.*
- *The Philippines consists of 7,641 islands. The Philippines is an archipelago, which means it's made up of a group of islands—7,641 islands, to be exact. That figure does not include the thousands of sandbars and other landforms that emerge during low tide.*
- *A one-way trip on the Trans-Siberian Railway involves crossing 3,901 bridges. Not only is the Trans-Siberian Railway the longest railroad in Russia, but it's also the longest one in the world. The journey takes seven days, during which time passengers pass through eight different time zones and cross 3,901 bridges.*
- *There's enough gold inside Earth to coat the entire planet. Turns out, there's quite a bit of gold on—or, really, in—our planet: 99 percent of the precious metal can be found in the Earth's core, Discover Magazine reports. How much is there? Enough to coat the entire surface of the Earth in 1.5 feet of gold.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
July 10 – Eid-Al-Adha	June 25 – July 04 July 10 – July 19 July 26 – July 31

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
July 09 – July 11 – Eid-Al-Adha	July 13 – July 16 July 29 – July 31

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in July	July 09 – 12 – Eid-Al-Adha	July 09 – 12 – Eid-Al-Adha

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ALANG - Port Position as of July 01, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Lady Margaux*	*2,300*	*LPG*	*Beached June 30*
Total Tonnage		**2,300**		

CHATTOGRAM - Port Position as of July 01, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ariana	15,672	Tanker	Arrived June 22
2	*Cape Shanghai*	*22,396*	*Bulk Carrier*	*Beached June 30*
3	Cui Hua	5,491	Bulk Carrier	Arrived June 19
4	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
5	June Luck	2,582	Tanker	Arrived June 29
6	*Kim Seng 3*	*1,393*	*Tanker*	*Beached June 30*
7	*Mikasa*	*1,435*	*RoRo / Cargo*	*Beached June 29*
8	Suntud Samud 3	1,020	Container	Arrived June 30
9	Thousand Sunny	1,098	Tanker	Arrived June 30
10	Winton T128	975	Bulk Carrier	Arrived June 23
11	Xiang Shun	3,025	Tanker	Arrived June 26
Total Tonnage		**71,971**		

GADANI - Port Position as of July 01, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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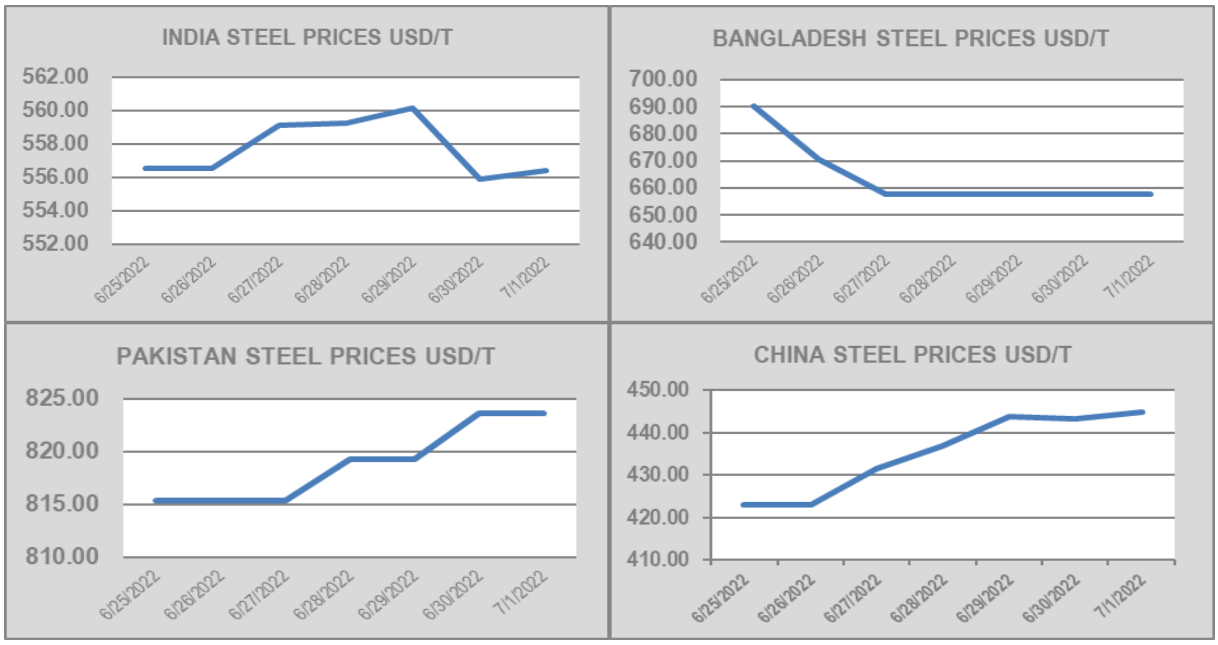
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
6/25/2022	556.55	43,600.00	815.35	170,000.00	690.22	63,500.00	423.13
6/26/2022	556.55	43,600.00	815.35	170,000.00	670.65	61,700.00	423.13
6/27/2022	559.10	43,800.00	815.35	170,000.00	657.61	60,500.00	431.56
6/28/2022	559.23	44,000.00	819.28	170,000.00	657.61	60,500.00	437.02
6/29/2022	560.13	44,200.00	819.28	170,000.00	657.61	60,500.00	443.80
6/30/2022	555.91	43,900.00	823.59	169,000.00	657.61	60,500.00	443.28
7/1/2022	556.40	44,000.00	823.59	169,000.00	657.61	60,500.00	444.94



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